MANAGEMENT PROCESS AND ORGANIZATIONAL BEHAVIOR

UNIT III | ORGANIZATIONAL & INDIVIDUAL BEHAVIOUR

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PART A: ORGANIZATIONAL BEHAVIOUR

1. INTRODUCTION AND DEFINITION OF OB

Organizational Behaviour (OB) is the study of **how individuals and groups behave in organizations** and how this behaviour affects the performance of the organization. Its aim is to apply this knowledge to make the organization **more effective**.

Author	Definition (in short)
Stephen P. Robbins	A field of study that investigates the impact that individuals, groups and structure have on behaviour within organizations, in order to apply such knowledge towards improving the organization's effectiveness.
Fred Luthans	OB is directly concerned with the understanding, prediction and control of human behaviour in organizations.
Keith Davis	OB is the study and application of knowledge about how people act within organizations.



Fig. 1: Elements of OB (Keith Davis)

Nature (Features) of OB

- **Interdisciplinary:** draws from psychology, sociology, anthropology and others.
- **Applied science:** knowledge is used to solve real workplace problems.
- **Behavioural approach:** studies how and why people behave as they do.
- **Human-oriented:** focuses on **people**, their needs and growth.
- **Contingency approach:** no one best way; the right action depends on the situation.
- **Both science and art:** systematic knowledge plus skilful application.
- **Three levels:** individual, group and organization.
- **Positive and normative:** explains what happens, and suggests what should happen.

Goals of OB

Goal	Meaning
1. Describe	Explain how people behave in different situations.
2. Understand	Find out **why** people behave in that way.
3. Predict	Forecast future behaviour (e.g. who will leave, who will perform well).
4. Control	Influence and direct behaviour to achieve organizational goals.

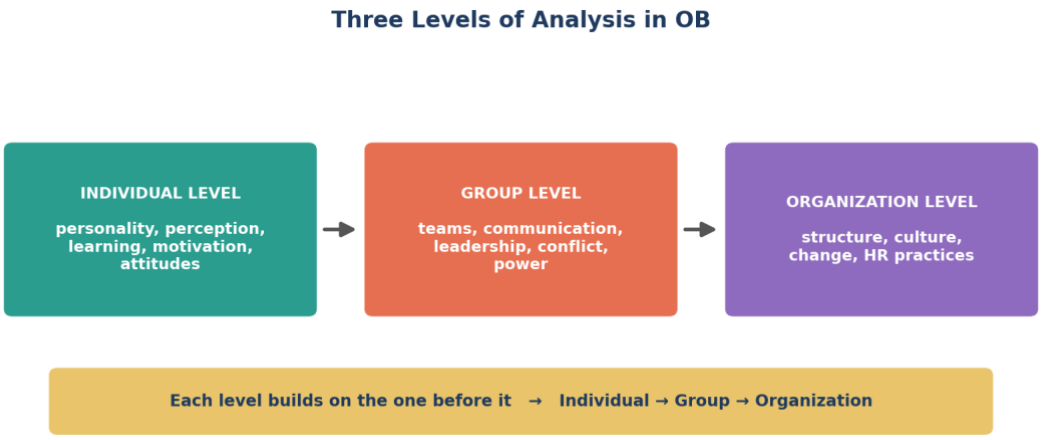


Fig. 2: Three levels of analysis in OB

WHY STUDY OB? (Importance)

- Improves **understanding of people** and relationships at work.
- Increases **motivation, job satisfaction and productivity**.
- Helps in **leadership, teamwork and conflict management**.
- Reduces **absenteeism and turnover**; builds a healthy work culture.
- Helps to manage **change** and **diversity**.

2. FUNDAMENTAL PRINCIPLES OF OB

OB is based on a few basic ideas about **people** and about **organizations** (Keith Davis).

A. Nature of People

Principle	Meaning
Individual differences	Every person is unique (ability, personality, background), so each must be treated differently.
Perception	People see the same situation in different ways; behaviour depends on perception, not on facts alone.
A whole person	An employee brings the whole self to work: skills, family, emotions and values; they cannot be separated.
Motivated behaviour	All behaviour has a cause: a need or goal. Motivation drives performance.
Desire for involvement	Employees want to take part in decisions and use their ideas; participation improves commitment.
Value of the person (human dignity)	People must be treated with respect and dignity, as persons, not as machines or factors of production.

B. Nature of Organizations

Principle	Meaning
Social systems	Organizations have a **social** side as well as an economic side; both formal and informal relations exist.
Mutual interest	The organization and employees need each other; goals of both must be met.
Ethics	Ethical treatment of people and fair practices are needed to attract and keep good employees.

EXAM TIP

- Remember: **people = 4 ideas** (individual differences, perception, whole person, motivated behaviour...) and **organization = 3 ideas** (social system, mutual interest, ethics).

3. CONTRIBUTING DISCIPLINES TO OB

OB is an **applied behavioural science** built on contributions from several disciplines.

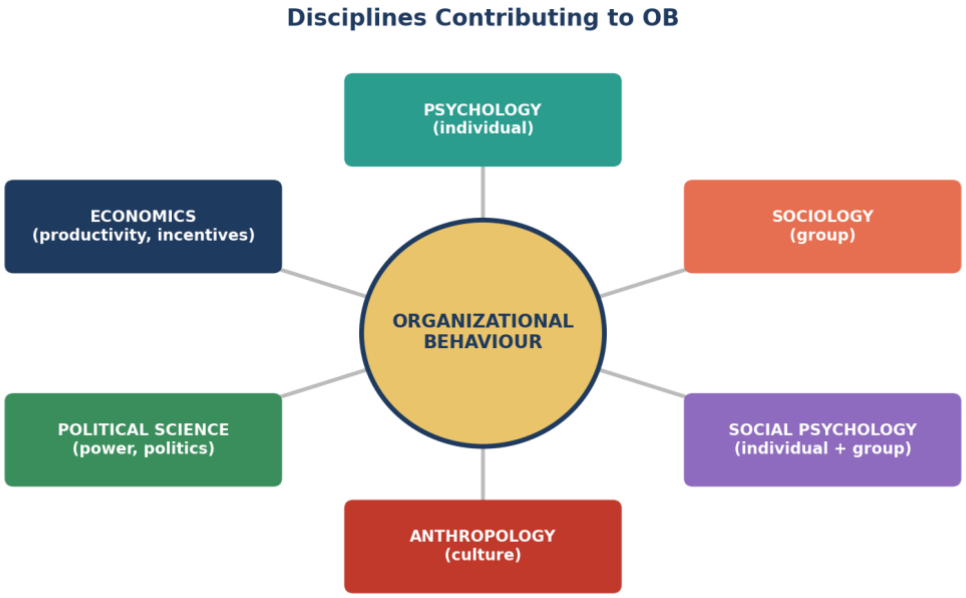


Fig. 3: Disciplines contributing to OB

Discipline	Level	Contribution to OB
Psychology	Individual	Learning, motivation, personality, perception, attitudes, emotions, stress, job satisfaction, performance appraisal, training, decision-making
Sociology	Group	Group dynamics, teams, communication, power, conflict, organizational culture, formal organization, organizational change
Social psychology	Individual and group	Behaviour change, attitude change, group processes, communication, group decision-making
Anthropology	Organization and society	Culture, values, comparison of cultures and environments; cross-cultural differences in behaviour
Political science	Organization	Power, politics, conflict, allocation of scarce resources within the organization
Economics	Organization	Productivity, labour market, incentives, cost-benefit thinking in decisions

TRICK TO REMEMBER

- **Psychology** = the **individual**. **Sociology** = the **group**. **Anthropology** = **culture**. **Political science** = **power and politics**.

4. CHALLENGES AND OPPORTUNITIES FOR OB

Today's managers face rapid change. OB helps to turn these **challenges into opportunities**.

Challenge	Why it matters	OB opportunity
Globalisation	Workforce and markets are international; cultures differ	Understand cross-cultural differences, manage global teams

Challenge	Why it matters	OB opportunity
Workforce diversity	Differences in gender, age, culture, ability, religion	Create an inclusive culture; use varied ideas for creativity
Quality and productivity	Customers demand quality; competition is high	Promote TQM, continuous improvement, employee involvement
Customer service	Services depend on employee behaviour	Develop friendly, responsive employee attitudes
Improving people skills	Managers need communication and leadership	Train in teamwork, listening, conflict handling
Empowerment	Flatter structures; employees take decisions	Delegate authority; build trust and responsibility
Innovation and change	Survive by adapting to change	Build a culture that accepts change and new ideas
Temporariness	Jobs, tasks and technology change fast	Learn continuously; adapt quickly
Work-life balance	Remote work, long hours and stress	Flexible schedules, wellness programmes
Ethical behaviour	Pressure to cut corners; scandals	Set ethical codes; lead by example
Technology and AI	Automation, digital and remote work	Re-skilling; human-technology collaboration
Economic pressures	Downsizing, job insecurity	Maintain morale, loyalty and trust

5. EVOLUTION OF ORGANIZATIONAL BEHAVIOUR

OB developed as a **separate field after the 1940s-50s**, but its roots lie in earlier management thought.

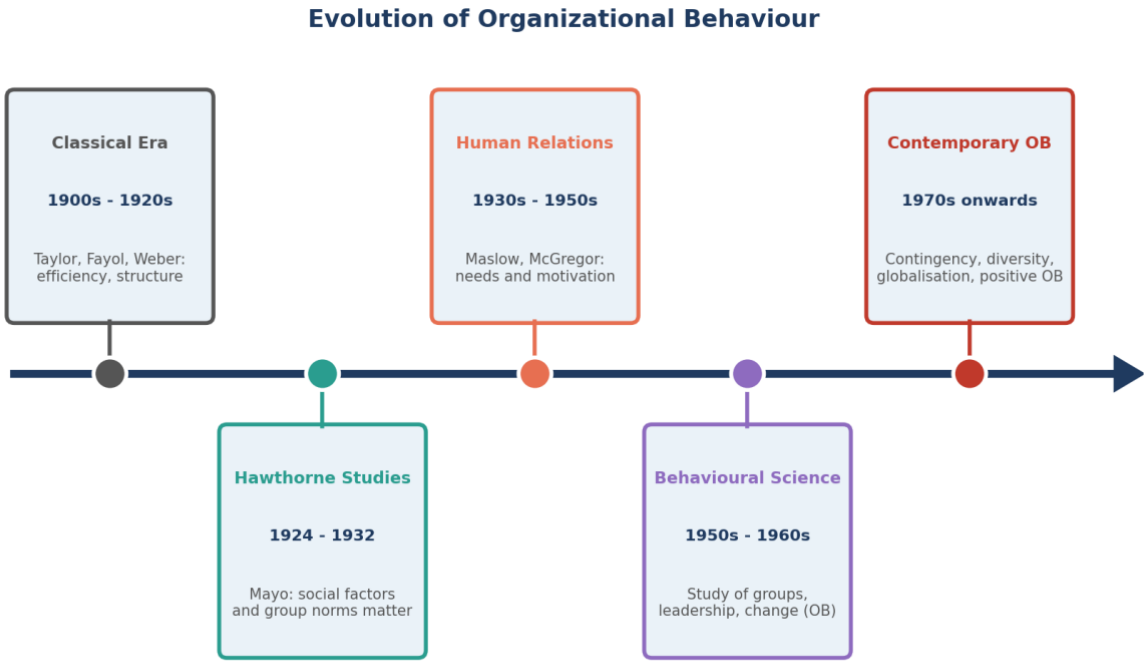


Fig. 4: Evolution of OB

Stage	Key ideas	Contribution to OB
Classical era (1900s-1920s)	Taylor, Fayol, Weber: efficiency, structure and rules; workers seen as **economic** beings	Foundation of management; later criticised for ignoring human needs
Hawthorne studies (1924-32)	Elton Mayo at Western Electric: **social factors**, group norms and attention affect productivity	Birth of the **human relations** view; importance of informal groups
Human relations (1930s-1950s)	Maslow, McGregor, Herzberg: needs, motivation, participation	Focus on **motivation and satisfaction**
Behavioural science (1950s-1960s)	Systematic study of individuals, groups, leadership, communication	OB takes shape as a **distinct discipline**; university courses begin
Contemporary (1970s onwards)	Contingency view, systems view, quality, diversity, globalisation, ethics, positive OB	OB becomes **applied and global**; includes culture, technology and emotions

REMEMBER

- **Hawthorne studies** are the turning point: they showed that **people are not just machines**; **social and psychological factors** strongly influence performance.

6. ORGANIZATIONAL BEHAVIOUR IN INDIA

OB in India is shaped by **Indian culture, values and social structure**. Western theories are used, but they must be **adapted to Indian conditions**.

Roots of management thought in India

- **Kautilya's Arthashastra:** an ancient text on administration, leadership, organization and control.
- **Bhagavad Gita:** teaches duty (**dharma**), selfless action (**karma yoga**), and balanced leadership.
- **Gandhi's trusteeship** and **Tata** philosophy: business as service to society.

Features of the Indian work culture

Feature	Meaning in the organization
Collectivism	Strong group, family and community orientation; loyalty to the team and the boss.
Hierarchy and power distance	High respect for seniors and authority; decisions are usually taken at the top.
Personal relationships	Trust and relationships matter more than formal rules (e.g. recommendations, networking).
Paternalism	Leaders act like a parent: care for subordinates and expect loyalty in return.
Spiritual and ethical outlook	Influence of karma, duty and values on work attitudes.
Flexibility and adaptability	Ability to work in uncertainty and improvise (*jugaad*).
Family-run businesses	Many firms are family managed, with strong influence of family values.

Challenges in India	Opportunities in India
Diversity of language, religion, caste and region	Young population (**demographic dividend**)
Gender gap and **work-life balance**	Growth of **IT, services and start-ups**
Bureaucracy, red tape and resistance to change	**Digital India** and global business links
Skill gap, unemployment and brain drain	Strong cultural values; adaptable and English-speaking workforce
Mix of **traditional** and **modern** work values	Growing focus on HR practices, ethics and **employee welfare**

EXTRA POINTS

- Indian management thinkers: **J. B. P. Sinha** (nurturant-task leadership; work culture), **Udai Pareek** (HRD, role stress), **Sudhir Kakar** (Indian psychology and culture).
- **Nurturant-task leader:** cares for subordinates, but also demands high task performance, a style that suits the Indian setting.

PART B: INDIVIDUAL BEHAVIOUR

7. FOUNDATIONS OF INDIVIDUAL BEHAVIOUR

Individual behaviour is the way a person acts, thinks and reacts at work. It is the **basic unit** of OB, because organizations are made of individuals.

LEWIN'S EQUATION: B = f (P, E)

- **Behaviour (B)** is a **function (f)** of the **Person (P)** and the **Environment (E)**.
- That is, behaviour depends on both the individual's characteristics and the situation around him or her.

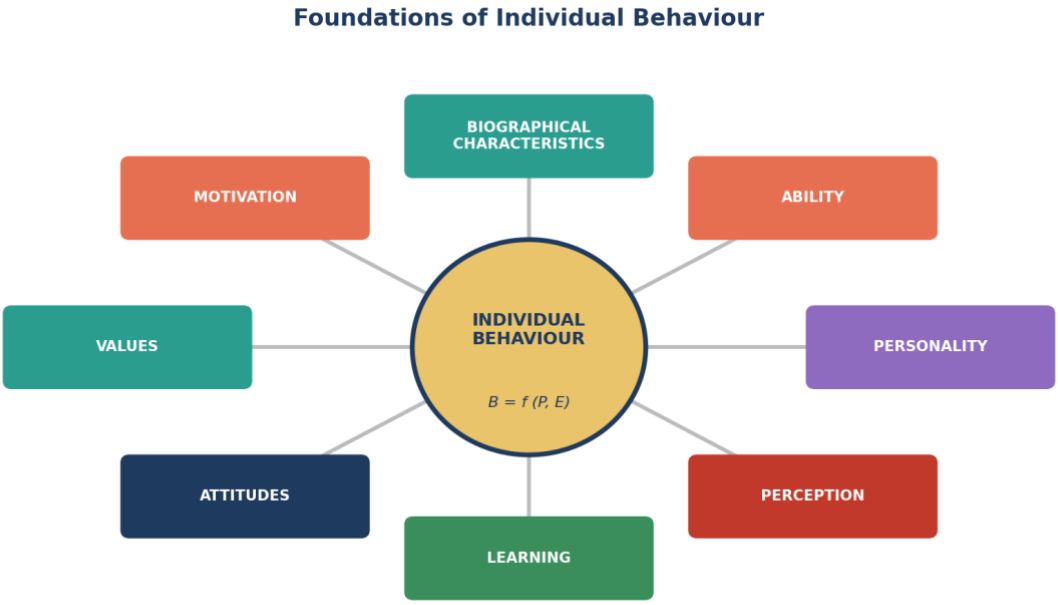


Fig. 5: Factors that shape individual behaviour

Factor	Meaning	Effect on behaviour
Biographical characteristics	Age, gender, marital status, tenure, number of dependents	Affect productivity, absenteeism, turnover and satisfaction
Ability	What a person is capable of doing	Sets the limit of performance
Personality	Stable pattern of thoughts, feelings and behaviour (traits)	Determines style of working and reacting
Perception	Process of selecting and interpreting information	People act on what they **perceive**, not on facts
Learning	Relatively permanent change in behaviour through experience	Skills and habits are acquired and changed
Attitudes	Evaluations (favourable or not) of people, things and events	Influence job satisfaction and commitment
Values	Basic beliefs about what is right or important	Guide choices, ethics and decisions
Motivation	Inner force that drives people to act to meet needs	Determines effort and persistence

PERFORMANCE FORMULA

- **Performance = Ability × Motivation** (both are needed; if either is zero, performance is zero).
- Some authors add **Opportunity** (resources and support): Performance = Ability × Motivation × Opportunity.

8. ABILITY

Ability is an individual's **capacity to perform the various tasks in a job**. It is made up of two sets of factors: **intellectual** and **physical** abilities (Robbins).

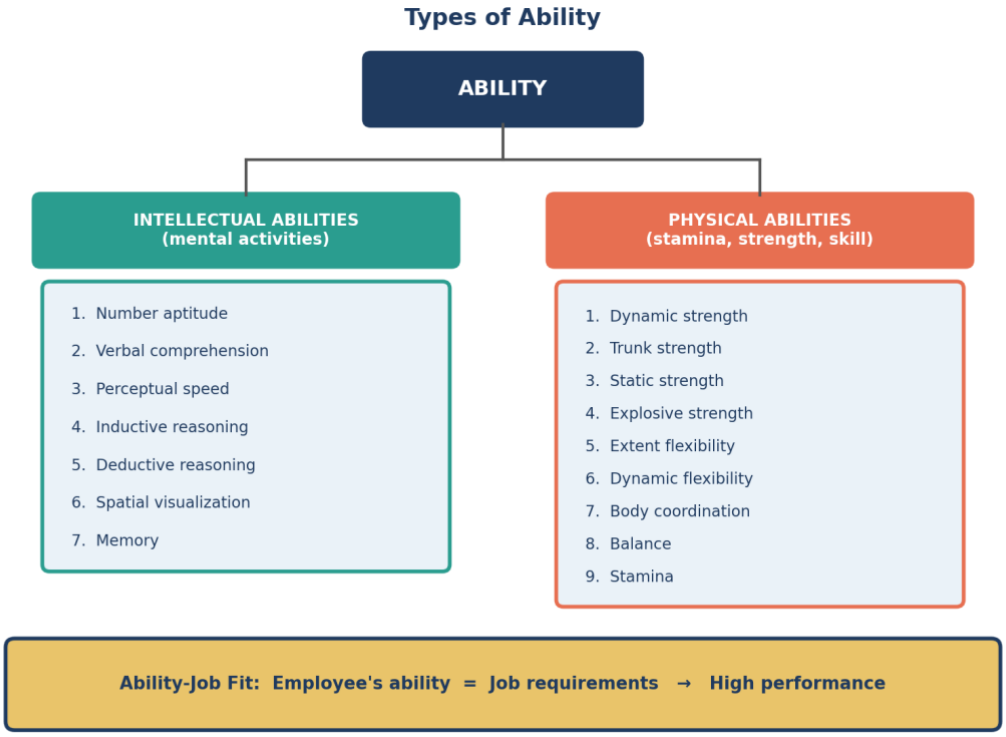


Fig. 6: Types of ability

A. Intellectual Abilities

Abilities needed to perform **mental activities** such as thinking, reasoning and problem solving. **General mental ability (intelligence)** is the total of these seven dimensions.

Dimension	Meaning	Example job
Number aptitude	Speed and accuracy in arithmetic	Accountant
Verbal comprehension	Understanding what is read or heard; relation between words	Manager, teacher
Perceptual speed	Quickly and accurately seeing similarities and differences	Fire investigator
Inductive reasoning	Identifying a logical sequence and solving the problem from facts	Market researcher
Deductive reasoning	Using logic and judging the implications of an argument	Supervisor, auditor
Spatial visualization	Imagining how an object would look if its position changed	Interior decorator, architect
Memory	Retaining and recalling past experiences	Salesperson (remembering customers' names)

EXTRA POINTS

- **Intelligence types:** general mental ability (IQ), **emotional intelligence (Goleman)**, multiple intelligence (Gardner).
- Higher mental ability matters **more** in complex, information-based jobs than in routine jobs.

B. Physical Abilities

Abilities needed to perform tasks demanding **stamina, strength and similar characteristics**. They are important in manual and operational jobs. Nine basic physical abilities:

Ability	Meaning
Dynamic strength	Exert muscular force repeatedly over time
Trunk strength	Exert muscular strength using the trunk (abdominal) muscles
Static strength	Exert force against external objects (lifting a weight)
Explosive strength	Expend a maximum of energy in one or a series of explosive acts
Extent flexibility	Move the trunk and back muscles as far as possible
Dynamic flexibility	Make rapid, repeated flexing movements
Body coordination	Coordinate the actions of different parts of the body
Balance	Maintain equilibrium despite forces pulling off balance
Stamina	Continue maximum effort that requires prolonged exertion

Ability-Job Fit

- Employee performance is highest when **ability matches the job requirements**.
- If ability is **below** requirements, performance falls; if **far above**, the employee feels bored and may leave.
- Managers use **selection tests, training and job design** to create a good fit.

Ability	Job requirement	Result
High	Low	Boredom, dissatisfaction, turnover
Low	High	Poor performance, stress, failure
Matches	**Matches**	**High performance and satisfaction**

9. THE ROLE OF DISABILITIES

A **disability** is a physical, sensory, intellectual or mental condition that limits certain activities. Modern OB treats it as a **difference in ability, not an inability**: with the right support, persons with disabilities can perform as well as others.

Types of Disability

Type	Examples
Physical / locomotor	Limb loss, cerebral palsy, muscular dystrophy, wheelchair use

Type	Examples
Visual	Blindness, low vision
Hearing and speech	Deafness, hard of hearing, speech impairment
Intellectual / learning	Dyslexia, learning disabilities, intellectual disability
Mental / psychosocial	Chronic mental illness, autism spectrum
Chronic conditions	Haemophilia, thalassemia, multiple sclerosis

Role of Disabilities in Organizational Behaviour

- **Job fit, not job exclusion:** assess ability against job needs; a disability affects only some tasks, not all.
- **Reasonable accommodation:** adjust workplace and work to remove barriers.
- **Inclusion and diversity:** adds varied perspectives, creativity and a positive culture.
- **Attitudes and stereotypes:** negative attitudes of co-workers are often a bigger barrier than the disability itself.
- **Motivation and loyalty:** supported employees show higher commitment and lower turnover.
- **Legal and social responsibility:** equal opportunity is both a legal duty and an ethical one.

Reasonable accommodations	Benefits to organization
Ramps, lifts and accessible washrooms	Wider **talent pool**
Assistive technology (screen readers, hearing aids, software)	Higher **loyalty** and low turnover
Flexible hours, work from home, modified duties	Better **image** and social responsibility
Sensitisation training for co-workers and managers	Culture of **inclusion** and teamwork

LEGAL FRAMEWORK IN INDIA

- The **Rights of Persons with Disabilities (RPwD) Act, 2016** replaced the Persons with Disabilities Act, 1995.
- It recognises **21 types** of disabilities, bans discrimination, and provides **reservation** in government jobs and education.
- Employers must provide **reasonable accommodation** and an accessible workplace.

10. QUICK REVISION AND IMPORTANT QUESTIONS

Topic	Remember
OB definition	Study of individual, group and structure effects on behaviour to improve effectiveness (Robbins)
Goals of OB	Describe, Understand, Predict, Control
Principles	People: individual differences, perception, whole person, motivated behaviour; Organization: social system, mutual interest, ethics
Disciplines	Psychology, Sociology, Social psychology, Anthropology, Political science, Economics

Topic	Remember
Challenges	Globalisation, diversity, quality, empowerment, change, ethics, work-life balance, technology
Evolution	Classical → Hawthorne → Human relations → Behavioural science → Contemporary
OB in India	Collectivism, hierarchy, relationships, paternalism, spiritual outlook, jugaad
Individual behaviour	B = f (P, E); biographical, ability, personality, perception, learning, attitudes, values, motivation
Ability	Intellectual (7) + Physical (9); ability-job fit
Disabilities	Difference not inability; reasonable accommodation; RPwD Act 2016

Likely exam questions

1. Define OB. Explain its nature, goals and importance.
2. Explain the fundamental principles of OB.
3. Discuss the disciplines that contribute to OB.
4. What are the challenges and opportunities for OB?
5. Explain the evolution of OB.
6. Discuss organizational behaviour in the Indian context.
7. Explain the foundations of individual behaviour (Lewin's equation).
8. What is ability? Explain intellectual and physical abilities.
9. What is ability-job fit? Why is it important?
10. Discuss the role of disabilities in organizations.
11. Short notes: Hawthorne studies; Goals of OB; Reasonable accommodation; Workforce diversity.

All the best for your exams!